

The contrast between the continuing depression in the bituminous industry and the dazzling prosperity of the soft-coal carriers may have significance for the future.)

**FINANCIAL STATISTICS OF SOFT- AND HARD-COAL CARRIERS IN 1923–1927
AND 1934–1938 (000 OMITTED)**

	1923–1927	1934–1938
Pocahontas soft coalers: ¹		
Total operating revenues	\$1,334,162	\$1,097,739
Net railway operating income	330,036	381,364
Net income (balance for dividends)	250,465	315,053
Hard coalers: ²		
Total operating revenues	2,393,777	1,374,607
Net railway operating income	401,784	195,975
Net income (balance for dividends)	289,608	18,615 (<i>d</i>)

¹ Totals for the Virginian; Chesapeake and Ohio; Norfolk and Western.

² Totals for Central Railroad of New Jersey; Delaware and Hudson; Delaware, Lackawanna and Western; Erie; Lehigh Valley; Reading.

Because of the loss of light traffic to motor trucks and of passenger traffic to automobiles and buses, the railroads as a whole have become more dependent than formerly on heavy traffic—e.g., coal, iron and steel, other minerals, stone, sand, etc. Their prosperity is more tied up than formerly with activity in the capital-goods industries. Hence, taken as a whole, they are now handicapped both by a definite diminution of their average traffic and by an added degree of year-to-year variability in the traffic that remains.

It is not difficult, perhaps, to obtain a clear view of the traffic situation as it has developed on the railroads generally and on the individual lines. But the application of this knowledge to the future, and the selection of specific bond or stock issues based thereon, is far from a simple process.¹⁰ It may be assumed that traffic developments to date are fully reflected in

¹⁰ See, for example, "Why Railroads Show Diverse Trends," by E. S. Adams in *Barron's* for Nov. 21, 1938. It is suggested that "long-term traffic trends should be given most weight in assessing the investment merits of individual issues." But the article itself does little more than point out why certain changes in relative values have taken place in the past.